JATHNIER CORPORATION
RUBY ST., RGA VILLAGE, DACUDAO,
DAVAO CITY, PHILIPPINES.
(082) 282 2439

MEMORANDUM

November 04, 2022 GM-2022-1104-0015

TO: **HUMAN RESOURCES DEPARTMENT MANAGER**
ALL DEPARTMENT MANAGERS
ALL SECTION HEADS & SUPERVISORS

FR: **GABRIEL L. CUAYCONG/GM - JC**

Cc: **DLC/MGC/Audit/HRD/File**

Re: **POLICIES & PROCEDURES: OFFICIAL INCIDENT REPORT (IR), NOTICE TO EXPLAIN (NTE), IN RELATION TO THE OPERATIONAL & ADMINISTRATIVE FUNCTION OF EVERY PERSONNEL.**

Moving forward to our corporate vision in business year 2022, Jathnier Corporation's Human Resources Department will re-align its Employee Relations function, its policies and guidelines, in regard to our Corporate Code of Discipline. This directive is focus on the basic purpose and proper use of Incident Report (IR), Notice to Explain (NTE), and its underlying policies and guidelines.

RATIONALE:

Having the correct understanding on the principles governing the activity and function of each personnel in the organization, will give each one the insight in leading each departments, sections & teams in the organization.

Every personnel, any designation or job position, have this two (2) main organizational function:

1. **Operational Skills (functional)** – this is the part of every personnel as they assume their respective functions or job position, already have or given. Either through its profession or degree, or can be polished/improve through training, experience and exposure. Such as Accountancy, Engineering, Arts & Sciences, Humanities, technicians, etc... Might have the skill as a good presenter, speaker, articulate, charismatic & other technical skills (e.i. baking, computer....).

2. **Administrative Skills (Administerial/leadership)** – this is the part where every personnel as they assume their respective functions or jobs is not absolute as to the degree of what they have. This is the challenge of most organization, to have the right personnel for them, because this abilities are misunderstood as basically a skill. In reality, initiative & proficiency on this abilities give rise to an individual to personally have an innate set of values, traits & insight on being a leader & for this individual to fully engage or commit himself to face challenges to progress in the right discipline of leadership. This are the qualities that formulates and make things happen. (Remember the 5 levels of Leadership).

Definitions:

1. **INCIDENT REPORT FORM (IR)** – is an official form used to record and document an INCIDENT, a HAPPENING or OCCURRENCE within the course of the company's business activity, or as it deemed affect the interest of the company (see attached Incident Report Form).
2. **NOTICE TO EXPLAIN (NTE)** – is an official form attached to the IR, or added in a separate piece of paper, to record and document the detail explanation of the incident cited on the IR by parties involve in the incident, or in a position to add pertinent information to the incident cited. In an

administrative proceedings that involve performance of an employee, this NTE will be the avenue to express and be heard formally the sides of concerned parties to the incident.

3. **CORPORATE CODE OF DISCIPLINE (COD)** – is an integral document of the company to govern the manner of the company's employees in the conduct of their respective functions and positions in the organization. COD sets the norms to regulate the behavior of its employees permissible on the the set principle and values enshrined by the organization. See COD, page 3, Rationale of the Corporate Code of Discipline.
4. **Grievance Committee or Committee on Decorum** – is a number of personnel, selected by the Human Resource Department through its Employee & Labor Relations Section, to perform a tasks mandated to them as a panel of adjudicators, in order to arrive in a fair and just resolution on matter at hand. **See COD, Policy #5 Policy on Administrative Procedures. Final ruling and formality of verdict is the responsibility of the HR Manager.**
5. **TABLE OF ORGANIZATION (TO)** – is an ADMINISTRATIVE organizational structure adapted by the company best suited to its business activity. This structure is the backbone of the organization as it provides the physical framework and relationship of the main functions & roles of each personnel of the organization. It reflects the hierarchical physical setup of its function & position in relation to its strategic importance, authority, accountability and responsibility.
6. **PREVENTIVE SUSPENSION** – a specific type of personnel work suspension done by the HRD under the initial premise of a major infraction committed on the Corporate Code of Discipline. This suspension will take a maximum of **seven (7) working days**, to pave a way to conduct an objective investigation of the case and to avoid any detrimental circumstance during the conduct of the investigation. During this preventive period, a due process of hearing the case with the Grievance Committee will be done and the issuance of the final resolution of the case therein.

POLICY AND STEP BY STEP GUIDELINES ON THE ISSUANCE OF INCIDENT REPORT (IR) & NOTICE TO EXPLAIN (NTE)

A. Company's Code of Discipline must align on the guiding rules of the Labor Code of the Philippines, and a copy of the COD to be submitted to the Department of Labor & Employment as compliance.
B. All personnel before deployment have to undergo New Employee Orientation Program. In this program, the new employee must have the acceptable understanding on the Corporate Code of Discipline and the basic House Rules of the company.
C. An Employee & Employer relationship has to be established by accomplishing all legal requirements of the employment, in relation to their function and position.
D. One of the specific legal requirement is to establish & document that the company's Corporate Code of Discipline is fully accepted and the employee is accountable to abide on all its stated Policies, Rules & Guidelines. Either by creating a document or to provide each employee a hand book type as practiced by other companies to establish this legal requirement.
E. From Top Executives, Senior Managers, Line Managers, Section Heads, Supervisors, Team Leaders, Staff, to the least position & function in the company are obligated to abide on the policies set forth in the COD. **(See COD Policy #7, #22 & #23.)**
F. All employees have the basic understanding of the COD. On this premise, issuance and accomplishment of Incident Report (IR) should be complete, specific and clear, as provided by the standard format of the Incident Report Form. **(See New IR Format).**
G. Issuance & recording of incident should be real time. Within 24 hours, IR should be issued from the time the incident manifested or have it known.
H. **The following type of incidents are to be recorded & administered with IR & NTE:**
    1. An event or occurrence that is to the interest of the company, but not immediately with the involvement of the performance of the duties & tasks of a personnel.
        1.1. This occurrence is subject for administerial review & investigation by the immediate superior of the personnel who witnessed or have the knowledge of the occurrence.
        1.2. If findings are purely an event or occurrence, the IR should be addressed and relayed immediately to concern departments for specific cost management treatment within 24 hours (1 working day) upon issuance and receipt of IR,
        1.3. The NTE portion of the IR, should be acknowledged and that action will be taken by the department head concern of the incident.

1.4. Department Head concern must ensure proper closure of this incident after 48 hours (2 days) from receipt of IR & NTE and transmit copy to HRD with resolution taken.

2. An event or occurrence that involve or implicate a personnel during the conduct or performance of his duties or tasks.

2.1. IR & NTE should be issued by any department immediate superior within 24 hours (1 working day) from the occurrence or incident,
2.2. And another 48 hours (2 working days) for the written respond of issued NTE.
2.3. After receipt of the Department Head of the IR & NTE issued, Department Head will review and issue formal recommendation of the case. Submit immediately to Human Resources Department's Employee & Labors Relations Section for processing as a formal Administrative Case within 24 hours (1 working day).
2.4. Department Head concern must ensure or make follow up if proper administerial action by the HRD is taken within 48 hours (2 working days) upon receipt of IR & NTE.
2.5. 24 hours (1 working day) upon receipt of the IR & NTE, Incidents that are considered a major offense is considered an administrative case immediately and are subject for HRD review, issuance of preventive suspension (maximum of 7 working days), conduct proper investigation of the case & schedule of hearing with the Grievance Committee within the maximum preventive suspension of 7 working days. (See COD Policy #6 Policy on Administration and Procedure of Major Offenses)
2.6. HRD will follow the Corporate Policy & Guidelines in forming the Grievance Committee, setting the hearing schedule of the case and the Standard Hearing Procedure.
2.7. After the hearing of the case, immediately the Grievance Committee must arrive in a unified verdict as to the following merit of the case as stated in the Corporate Code of Discipline.
   2.7.1. **Termination** – follow the corporate policy aligned with the Labor Code of the Philippines on the proper termination of employment. (Just Cause or Authorized Cause).
   2.7.2. **Work Suspension without Pay** – a consideration, if the given preventive suspension will suffice or an extended suspension period will be added, depending on the merit of the case.
   2.7.3. **Reinstatement** – when the merit of the case will show beyond reasonable doubt, which the personnel concern is not guilty or no participation at all on the infraction cited in the case. The personnel will be reinstated immediately on his work. Preventive suspension consumed will be considered as with pay.

3. **Standard Processing Lead Time:**

A. For minor or light infractions
3.1. Issuance and HRD processing of IR/NTE & final resolution – within 4 working days.

B. For major or grievous offenses
3.2. Issuance & HRD processing of IR and NTE & resolution – within 4 working days.
3.3. Preventive Suspension, Investigation, Hearing of the case & final resolution – within 7 working days.
3.4. A total of 11 working days.

4. The very objective of Incident Report, Notice to Explain and the Corporate Code of Discipline is Administerial. We go back on the Administrative function of all personnel, from top executives, senior managers, lines managers, Heads, Supervisors, Team leaders to Staff level to perform such tasks as part of each responsibility as an employee.
5. Every personnel should understand their administrative function in relation to the purpose and issuance of IR & NTE. The basic principle to follow is going to the Hierarchical Pattern of the organizational structure rather than the horizontal pattern of the structure.

6. Delay on administering this Policy is tantamount to deviation of the following COD Policy #7. Implementation of Company Code of Discipline and its underlying general policy, rules and regulations.
7. **As of the writing of this memorandum, a "Whistle Blower Policy" to be develop to cover any other occurrence or cases not covered by this policy.**

Personnel who were assigned or designated to perform such administerial activity are expected to have full understanding of the existing COD and corresponding authority, responsibility and accountability therein. They have to be honorable, firm, careful, accurate, honest, fair and just in regard to the implementation of this policy. **Deviation of these is considered an infraction under the Company Code of Discipline.**

Strict compliance is required for this Policies & Guidelines and this will officially take effect on **November 15, 2022**. Any clarification on this matter please communicate accordingly.

Gabriel L. Cuaycong
GM/RBS-JC

Noted:

Melina G. Comedido
VP/Operations Director-JC